

Tesco PLC – Financial performance report

Introduction:

Within the UK, Tesco PLC is arguably the biggest retailing company in the region and a key factor within the global supermarket industry. Tesco primarily focuses on grocery retail, clothing, electronics and, financial services across the UK, Europe and even Asia. Tesco is generally seen as the market leader of groceries in the UK, though the supermarket industry is highly competitive with firms such as Sainsbury's, Aldi and Lidl expanding in the market. Recently, Tesco has invested heavily into transitioning into the world of online grocery shopping, after events such as the COVID pandemic outbreak. As aforementioned, Tesco is a public limited company, meaning its financial performance is important to investors and stakeholders. This report will help analyse Tesco's financial performance over the past 3 years (2022-2024) using financial ratios. This will be achieved through profitability and liquidity ratios to assess Tesco's profitability, costs and financial stability so that the firm can continue to adapt its financial management, pricing strategies and supply chain management to keep market leadership.

Profitability ratios:

Profitability ratios are used to measure Tesco's ability to generate earnings relative to its revenue, assets and equity and "help evaluate a company's financial performance" (Atrill and McLaney 2022). The Gross Profit Margin is the difference between the Gross Profit and Revenue, expressed as a percentage. Tesco's findings were: 7.6% in 2022, 5.1 in 2023 and, 7.1% in 2024. Tesco saw a decrease in 2023, potentially due to factors such as inflation or supply chain problems, leading to higher costs. However, Tesco recovered in 2024 showing an improvement in cost control but generally the gross margin stayed consistent. Tesco's gross profit margin of 7.1% is comparable to other competitors, such as Sainsbury's, which is expected in a dynamic industry, which operates on high sales volumes and thin profit margins. The Operating Profit Margin is the difference between the Operating Profit and revenue, expressed as a percentage. Tesco results were: 4.2% in 2022, falling to 2.2% in 2023 but increasing back to 4.1% in 2024. A trend is shown in 2023, suggesting that Tesco struggled with expenses and costs that year. This may have been caused by the increase in the minimum wage, leading to higher wages, partnered by other increasing costs, such as fuel. However, again Tesco improved their cost efficiency in 2024. The Net Profit Margin is the measure of how much net income Tesco makes, expressed as a percentage. Tesco's findings were: 2.4% in 2022, 1.1% in 2023 and 1.7% in 2024.

A net profit margin of 1.7% is expected for a firm like Tesco operating within a highly competitive market with low margins, which is helped caused by large operating costs. The return on assets ratio shows the profitability of the firm's assets in generating revenue, expressed as a percentage. Tesco's figures for this ratio were: 3.1% in 2022, 1.5% in 2023 and finally, 2.4% in 2024. The recovery in 2024 shows that Tesco has seen an improvement in how they use their assets. Return of Equity is a measure of the firm's financial performance using its equity. Tesco's ROE figures for the past 3 years were: 7.8% in 2022, 3.9% in 2023 and, 6.2% in 2024. Given the competitive nature of the supermarket industry, it's crucial to maintain competitive prices with strong profit margins. The recovery of profit margins in 2024 shows Tesco has taken note of their profitability fall and implemented cost saving initiatives, however, it remains slightly lower than other firms, such as Sainsbury's.

Liquidity Ratios:

Liquidity ratios are used to provide insights into a company's ability to meet short-term liabilities. The current ratios is a key liquidity measure that assesses a firm's ability to meet short-term obligations (Weetman, 2024). Tesco's current ratios figures were: 0.83 in 2022, 0.70 in 2023 and 0.75 in 2024. A current ratio below 1 suggests that the firm is unable to cover their short-term debt obligations without selling assets or borrowing, despite slightly improving from 2023 to 2024, possibly due to improved cash management and turnover. However, it's important to note that a current ratio below 1 is common among firms in the supermarket industry, due to their terms with suppliers and high inventory turnover. Quick ratio is a financial measure of a firm's short-term liquidity. Tesco's ratio for their past 3 Acid-Test ratios were: 0.51 in 2022, 0.38 in 2023 and, 0.44 in 2024. A quick ratio under 1 is common among competitors in the supermarket sector, due to high reliance on inventory and the fast cash cycle within the industry. However, a ratio below 1 may indicate potential short-term liquidity risks. Debt-to-Equity ratio is used to compare the amount of debt the firm has against the amount invested by its owners. It is a key measure of financial leverage and capital structure (Altman, 1968). Tesco's figures over the three years were: 1.8 in 2022, 2.2 in 2023 and 2.0 in 2024. Generally, the benchmark is to keep your debt-to-equity ratio below 1.5, however, Tesco being a large retailer, which relies on lots of infrastructure for storage and stores, mean it's not necessarily a problem. Managing liquidity is important in this type of industry. One potential idea that Tesco could implement to further improve liquidity for 2025 could be to negotiate and optimize payment terms with their suppliers.

Conclusion:

Despite being one of the leaders within the supermarket industry, Tesco's financial performance can be seen as mixed over the period, specifically in 2023. Profitability ratios provide evidence of a profitability loss in 2023, most likely driven by increasing costs with a recovery in 2024. Liquidity ratios were generally low, suggesting that Tesco must work on managing their working capital. For the upcoming year, Tesco should focus on debt management, reducing short-term liabilities to improve liquidity and further enhance profitability. Furthermore, Tesco should continue to focus their efforts on expanding its e-commerce platform, as online grocery shopping is becoming more and more popular, following the pandemic. Doing so and potentially diversifying its product range to target different demographics, such as Aldi and Lidl have with their low-end, cheaper products could influence higher profit margins.

Appendices:



Citations:

- Atrill, P. and McLaney, E.J. (2022;2024;) *Accounting and finance for non-specialists*. Twelfth;12; edn. Harlow, England: Pearson.
- Weetman, P., Jubb, D. and Weetman, P. (2024) *Financial and management accounting: an introduction*. Ninth. Harlow, England: Pearson.
- Altman, E.I. (1968) 'FINANCIAL RATIOS, DISCRIMINANT ANALYSIS AND THE PREDICTION OF CORPORATE BANKRUPTCY', *The Journal of finance (New York)*, 23(4), pp. 589–609.
- Tesco PLC (2022) *Annual Report and Financial Statements 2022*. Available at: <https://www.tescopl.com> [Accessed 23 March 2025].
- Tesco PLC (2023) *Annual Report and Financial Statements 2023*. Available at: <https://www.tescopl.com> [Accessed 23 March 2025].
- Tesco PLC (2024) *Annual Report and Financial Statements 2024*. Available at: <https://www.tescopl.com> [Accessed 23 March 2025].

- • Sainsbury's PLC (2023) *Annual Report and Financial Statements 2023*. Available at: <https://www.about.sainsburys.co.uk> [Accessed 23 March 2025].
- • Aldi UK (2023) *Financial Performance Overview 2023*. Available at: <https://www.aldi.co.uk> [Accessed 23 March 2025].

-